

Apple Inc.

AAPL — Annual Report on Form 10-K (Illustrative)

Fiscal Year Ended September 27, 2025

Filed with the Securities and Exchange Commission (synthetic)

Item 1. Business Overview

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories, and sells a range of related services. The Company's reportable segments are organized by geography (Americas, Europe, Greater China, Japan, and Rest of Asia Pacific), with Products and Services also disclosed as distinct revenue categories. iPhone remains the Company's largest product category by revenue, while the Services category, comprising the App Store, Apple Music, iCloud, AppleCare, and licensing arrangements, has grown to represent a substantial and increasing share of total revenue and carries meaningfully higher gross margin than the Products category.

During fiscal 2025 the Company continued rolling out Apple Intelligence, a set of generative AI features integrated across iOS, iPadOS, and macOS, combining on-device processing with cloud-based compute through the Company's Private Cloud Compute infrastructure. As of fiscal year-end, the Company employed approximately 164,000 full-time equivalent employees.

Item 1A. Risk Factors

- **Product concentration:** a substantial portion of total net sales is derived from a single product, iPhone; a decline in iPhone demand or a lengthening of the replacement cycle would have an outsized effect on total revenue.
- **China market and supply chain exposure:** Greater China represents a significant share of both revenue and manufacturing capacity, exposing the Company to geopolitical, regulatory, and currency risk concentrated in a single region.
- **Regulatory risk to Services revenue:** ongoing antitrust and digital-market regulatory actions in the United States, European Union, and other jurisdictions target App Store commission structures and platform practices central to Services revenue and margin.
- **Competitive and innovation risk:** the Company operates in highly competitive markets, and its results depend on continued consumer demand for new product and feature introductions, including the pace and reception of Apple Intelligence features relative to competitors.
- **Foreign exchange exposure:** a majority of net sales are generated outside the United States, exposing reported results to currency translation risk.
- **Manufacturing concentration:** a significant portion of the Company's products are assembled by a limited number of contract manufacturers concentrated in a small number of countries, creating exposure to labor, trade policy, and operational disruption risk.

Item 7. Management's Discussion and Analysis

Fiscal 2025 total net sales grew modestly year-over-year, with Services revenue growth outpacing Products revenue growth for the fourth consecutive fiscal year. Gross margin expanded, driven by a favorable mix shift

toward Services and cost efficiencies in the Products category. Management attributed iPhone revenue performance in part to continued adoption of Apple Intelligence features, noting stronger upgrade activity in regions where those features had launched earliest.

Management noted that Greater China net sales were roughly flat year-over-year, citing continued competitive intensity from domestic smartphone manufacturers, partially offset by improving trends in the second half of the fiscal year. The Company returned a substantial amount of capital to shareholders during the year through dividends and share repurchases.

Consolidated Income Statement Summary

(\$ in millions)	FY2025	FY2024
Net sales	\$400,153	\$390,180
Cost of sales	\$217,283	\$210,352
Gross profit	\$182,870	\$179,828
Operating expenses	\$59,412	\$57,467
Operating income	\$123,458	\$122,361
Net income	\$101,832	\$100,215
Diluted EPS	\$6.71	\$6.42

Balance Sheet Highlights

(\$ in millions)	FY2025	FY2024
Cash, cash equivalents & marketable securities	\$65,120	\$61,801
Total assets	\$352,940	\$364,980
Total liabilities	\$267,510	\$277,327
Total stockholders' equity	\$85,430	\$87,653

Revenue by Category

Category	FY2025 Revenue	FY2024 Revenue	YoY Growth
iPhone	\$205.1B	\$201.2B	+2%
Services	\$102.0B	\$96.2B	+6%
Mac	\$29.4B	\$29.1B	+1%

iPad	\$26.8B	\$26.7B	+0%
Wearables, Home & Accessories	\$36.9B	\$37.0B	-0%
Total Net Sales	\$400.2B	\$390.2B	+3%

Competitive Landscape

In smartphones, Apple competes primarily with Samsung and a range of Android device makers, including Chinese manufacturers with strong domestic distribution. In Services, the Company competes with a wide array of digital content and cloud service providers, and faces regulatory pressure that could affect App Store economics. In AI, Apple Intelligence competes for consumer attention with AI assistants offered by Google, and by device makers integrating third-party large language models directly into competing operating systems.

Outlook

Management expects total revenue growth to remain in the low-to-mid single digits over the coming fiscal year, with Services continuing to grow faster than Products. Management said it expects Apple Intelligence feature expansion into additional languages and regions to be a modest tailwind to the iPhone upgrade cycle, while cautioning that the magnitude of that effect remains difficult to isolate from normal replacement-cycle dynamics.